

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
DUAL DEGREE BBA+MBA PROGRAMME
SEMESTER – VI –UNIVERSITY EXAMINATION, MAY 2018
BM326 INDIAN FINANCIAL SYSTEM

Date: 04/05/2018, Friday

Time: 01.30 PM to 02.00 PM

Total Marks: 15

Student's ID No.									
Student's Name: _____									
Student's Sign : _____									
Supervisor's Name : _____									
Supervisor's Sign: _____									

Important Instructions:

- All questions are compulsory.
- This is a closed book examination.
- There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.
- Section – I should be answered in the given question paper and Section – II should be answered in a separate answer book.
- Maximum time allotted for Section – I is 30 minutes. Answer Book for Section – II will be given when the Question Paper for Section – I is returned. However, candidates who complete Section – I earlier than 30 minutes, can collect Answer Book for Section – II immediately after handing over Section – I question paper.
- Figures on the right indicate marks for each question.

SECTION – I

Q.1 Objective Type Questions:

15

A) Match the following: (i – vi)

06

Q. No.:		Probable Answer Keys		Write Your Answer Here
i.	Primary markets	a)	Accept deposits for credit creation.	i. –
ii.	Secondary markets	b)	Place for trading of listed securities	ii. –
iii.	Mutual funds	c)	Place for new shares	iii. –
iv.	Treasury bills	d)	Electronic securities depository	iv. –
v.	Commercial papers	e)	Short term government securities	v. –
vi.	NSDL	f)	Long term government securities	vi. –
		g)	Short term corporate securities	
		h)	Long term corporate securities	
		i)	Pools money from many investors	
		j)	Physical securities depository	

B) Multiple-Choice Questions (vii – ix) (Note: Encircle the correct answer)**03**

- vii.** Which of the following is/are the components of Indian financial system
- a) Financial institutions
 - b) Financial markets
 - c) Financial instruments
 - d) All of the above
- viii.** In mutual funds units of _____ must be listed on the stock exchange.
- a) Sector fund
 - b) Arbitrage fund
 - c) Close ended fund
 - d) Liquid funds
- ix.** Which of the following is not a money market instrument
- a) Bonds issued by financial institutions
 - b) Certificate of deposits
 - c) Commercial papers
 - d) Treasury bill

C) Fill-in the Blanks (x – xii) You may choose from the following answers:**03**

AMFI	IRDA	SEBI	FMC	PFRDA	RBI
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- x.** _____ is an autonomous, statutory body tasked with regulating and promoting the insurance and re-insurance industries in India.
- xi.** _____ a statutory body, is the pension regulator of India
- xii.** Mutual funds in India are regulated by _____

D) True or False (xiii – xv) (Note: Encircle the correct answer)**03**

- xiii.** The hirer, being the owner of the assets, enjoys the salvage value of assets. (True) / (False)
- xiv.** General Insurance Corporation is National Reinsurer. (True) / (False)
- xv.** Commercial papers are not money market instrument (True) / (False)

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BM326 INDIAN FINANCIAL SYSTEM

Date: 04/05/2018, Friday

Time: 02.00 PM to 04.30 PM

Total Marks: 55

Note: - (i) All questions are compulsory.

(ii) This is a closed book examination.

(iii) There are two sections in the question paper. **Section – I** contains Q. No.: 1 of 15 marks and **Section – II** contains total five questions where in Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.

(iv) **Section – I** should be answered in the given question paper and **Section – II** should be answered in a separate answer book.

(v) Maximum time allotted for **Section – II** is 150 minutes.

(vi) Figures on the right indicate marks for each question.

SECTION – II

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|-----|---|--|
| Q.2 | Discuss the Indian financial system; also give various components of Indian financial system. | 10 |
| OR | | |
| Q.2 | Explain the different types of money market instruments in India (Any four). | 10 |
| Q.3 | Differentiate between close ended and open ended mutual funds. Also explain how NAV can help to assess the fund's performance? | 10 |
| Q.4 | Write short note on following:
<div style="margin-left: 20px;">(i) Factoring and forfeiting
 (ii) Operating and finance lease</div> | 10 |
| Q.5 | <div style="margin-left: 20px;">A Describe the credit rating methodology generally used by the credit rating agencies to rate the issuer.</div> <div style="margin-left: 20px;">B What is venture capital financing? Discuss different stages of venture capital financing in India.</div> | <div style="margin-left: 20px;">05 10</div> <div style="margin-left: 20px;">05</div> |
| Q.6 | <p>In a bold move Reserve bank of India cut repo rate by 50 basis points in its monetary policy action and surprised the Indian financial markets on September 29, 2015. Rate cut that was deeper than expected from a man who's made the war on inflation his main focus. That was accompanied by a number of measures aimed at bolstering the monetary policy framework, improving the efficiency of the banking system, broadening and deepening the financial markets, coping with stressed corporate and financial assets and widening access to financial services. In so doing, the bank went a long way toward setting India on the path of lower interest rates.</p> <p>"The Reserve Bank has front-loaded policy action" because a lot of things are going India's way, except perhaps for the monsoon, Rajan said, indicating that</p> | 15 |

the rate-reduction cycle hadn't necessarily come to an end. But he made the point that cuts need to be transmitted to the broader economy to have real effect. "While the Reserve Bank's stance will continue to be accommodative, the focus of monetary action for the near term will shift to working with the government to ensure that impediments to banks passing on the bulk of the cumulative 125 basis points cut (since January 2015) in the policy rate are removed," Rajan said. In a vote of confidence, stocks and bonds rose while the rupee strengthened, generally unusual behavior for a currency in the context of a rate cut. The government and industry welcomed the move and pledged support.

The poor investment climate and lack of demand led the central bank to lower its economic growth forecast by 20 basis points to 7.4% from 7.6%. The central bank cut the repo rate at which it lends to banks by 50 basis points, or half a percentage point, compared with the overwhelming expectation of 25 basis points, to 6.75%, the lowest in four and-a-half years.

Apart from this, the governor said foreigners will be allowed to buy more government bonds, effectively pushing rates lower, and the regulator will work with the government to bring down interest rates on small savings. Banks have blamed this for keeping them from reducing lending rates. The central bank kept aside fears of inflation rearing up again as it sees a weakening global economy as the bigger threat. It forecast inflation for January 2017 at 5%, in line with its target, which means policy rates could be cut by another 50 basis points in the next 12 months if the trajectory on prices is maintained. The sharper-than-expected cut will buoy sentiment. "Investment is likely to respond more strongly if there is more certainty about the extent of monetary stimulus in the pipeline, even if transmission is slow," Rajan said.

- a) What are the rationales behind sharp cut in repo rate by reserve bank of India?
- b) What are its expected impact on Indian stock market, bond market and money market? Explain in brief.